procedures and systems, it is still important to allow sufficient lead time for potential SBSEFs and market participants to come into compliance with the new regulatory framework. The commenter states that existing SEFs will need to make certain technological changes to their platform to conform to the new rules and that additional time will be required for testing, finalizing a new rulebook, and putting in place the requisite agreements with SBSEF clients. This commenter states that the Commission should set a compliance date that is at least 18 months from the date of effectiveness of any final rule.[780]

One commenter states that, absent a phased-in implementation approach, the SBS market could suffer from significant disruptions. Therefore, this commenter states, the Commission should provide "phased-in compliance" with the required methods of execution, whereby a MAT SBS product may be executed on an SBSEF via any method of execution until such time as it is determined through notice and comment that an appropriate level of liquidity exists to enable an order book or RFQ-to-3 system. This commenter states that, when considering the lack of liquidity in SBS products, pre-trade price transparency via the proposed RFQ-to-3 requirement could negatively affect liquidity provision for end-users because, if clients are required to show their hand to three liquidity providers, it may lead to information leakage and an inability to hedge their risks through SBS markets. This is particularly so, the commenter says, because there are only a relatively small number of active dealers for many SBS products.[781]

This commenter further states that an RFQ-to-3 requirement would also be problematic for SBS equities, where current execution processes are very different from their swaps counterpart, and where common trading practices and counterparty exchanges would not be

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780 *See* Bloomberg Letter, *supra* note 18, at 21.

781 *See* ISDA-SIFMA Letter, *supra* note 18, at 6.

possible on an RFQ-to-3 or order book system. The commenter states that it has compared the credit swaps activity that occurred on-venue in 2012 (before the CFTC trade execution requirement became effective) with the credit SBS activity that occurs on venue today. The commenter reports that the result is that 48.2% of AMRS CDX trading client volume was on-venue in 2012, while only 4.9% of AMRS SNCDS trading client volume occurred on-venue in 2022 (up to the date of the commenter's letter). The commenter states that this shows that the swaps market was much more ready for the implementation of the trade execution requirement than the credit SBS market is today.[782]

The Commission agrees that some period of time will be required for would-be SBSEFs not only to register with the Commission, but also to create a new platform; put in place policies, procedures, and arrangements to ensure operational, technical and regulatory compliance; establish its own rules; and put in place the requisite agreements with SBSEF clients. The Commission does not agree, however, with the comment that a separate, "phased-in" compliance schedule should be put in place for the required methods of execution and that the Commission should engage in future notice and comment before applying the required methods of execution to SBS that have been made available to trade. First, no SBS are currently subject to a clearing determination, so it would not be possible for any SBSEF to make an SBS available to trade and subject it to the required methods of execution. Second, as discussed above, before an SBS becomes subject to the trade execution requirement, the Commission would have had multiple opportunities to consider the trading characteristics of the SBS.[783] Even after the Commission has made a clearing determination with respect to an SBS, to make that SBS "available to trade,"

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782 *See id.*

783 *See supra* notes 181–185 and accompanying text.

an SBSEF would, under Rule 816(a)(1), have to make a filing with the Commission under Rule 806 or Rule 807—both of which would allow the Commission to find that a filing was not consistent with the requirements of the SEA or Regulation SE.[784] This filing would, under Rule 816(b), have to address, as appropriate, a number of relevant factors, including whether there are ready and willing buyers and sellers; the frequency or size of transactions; the trading volume; the number and types of market participants; the bid/ask spread; and the usual number of resting firm or indicative bids and offers. And a national securities exchange that wished to make an SBS "available to trade" would have to file a rule change under Rule 19b-4,[785] and that proposed rule change would be subject to Commission review for compliance with the requirements of the SEA. Therefore, the Commission is not adopting a separate, "phased-in" compliance schedule for the required methods of execution.

Further, with respect to commenters who proposed specific timeframes for implementation (e.g., 12 months or 18 months), the Commission's proposed compliance schedule is better designed to facilitate timely and achievable implementation of Regulation SE because it reflects that the entities that are likely to register as SBSEFs have been accustomed to operating SBS trading platforms pursuant to exemptive relief granted by the Commission.[786] Thus, it is appropriate to provide these entities with a reasonable period of time—through a compliance schedule tied to the completion of the steps required for registration as an SBSEF—to come into compliance with the requirements of Regulation SE. Further, because most, if not all, entities that seek to register as SBSEFs will be CFTC-registered SEFs—and because the Commission has sought to harmonize both the registration form and exhibits for SBSEFs and the

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[784] *See supra* sections IV.A and B.

[785] 17 CFR 240.19b-4.

[786] *See supra* section XII.

substance of the rules applicable to SBSEFs with the CFTC regulations applicable to SEFs—the entities seeking to register as SBSEFs will be able to complete the each of the steps necessary for registration in the allotted periods.

Therefore, the Commission is adopting the following compliance schedule for Regulation SE. The SBSEF rules shall become effective 60 days after the date of publication in the *Federal Register* ("Effective Date"). Once Regulation SE has become effective, any entity that meets the definition of SBSEF may file an application to register with the Commission on Form SBSEF at any time after the Effective Date.[787] As discussed above,[788] the Temporary SBSEF Exemptions will expire 180 days after the Effective Date for any entity that has not filed an application to register with the Commission on Form SBSEF. Thus, an entity that meets the definition of SBSEF and engages in such activities but fails to submit an application on Form SBSEF by 180 days after the Effective Date would be in violation of the registration requirement of Rule 803. For an entity that has submitted an application on Form SBSEF by 180 days after the Effective Date, the exemptive relief relating to SBSEF registration would expire 240 days after the Effective Date, except with respect to an entity whose application on Form SBSEF is *complete* (having responded to requests by the Commission's staff for revisions or amendments) within 240 days of the Effective Date. An entity that has submitted an application within 180 days of the Effective Date and whose application is complete within 240 days of the Effective Date will continue to benefit from the exemption from registration until 30 days after the Commission acts to approve or disapprove the application on Form SBSEF.

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787 Once Regulation SE has become effective, applications for exemptions under Rule 833 may also be submitted. *See supra* section VII.B (discussing cross-border exemptions for foreign trading venues and relating to the trade execution requirement).

788 *See supra* section XII (discussing the rescission of exemptive relief).

XVII. ECONOMIC ANALYSIS

A. Introduction

To increase the transparency and oversight of the OTC derivatives market,[789] Title VII of the Dodd-Frank Act requires the Commission to undertake a number of rulemakings to implement the regulatory framework for SBS that is set forth in the legislation, including among other things, (1) the registration and regulation[790] of SBSEFs; and (2) mitigating conflicts of interest with respect to SBSEFs, SBS exchanges, and SBS clearing agencies. To satisfy these statutory mandates, the Commission is adopting Regulation SE and associated forms under section 3D of the SEA that would create a regime for the registration and regulation of SBSEFs and address other issues relating to SBS execution generally.[791] One of the rules being adopted as part of Regulation SE, Rule 834, implements section 765 of the Dodd-Frank Act, which is intended to mitigate conflicts of interest at SBSEFs and SBS exchanges. Other rules being adopted as part of Regulation SE address the cross-border application of the SEA's trading venue registration requirements and the trade execution requirement for SBS.

In addition, the Commission is amending existing Rule 3a1-1 under the SEA to exempt, from the SEA definition of "exchange," registered SBSEFs that provide a market place for no securities other than SBS, and certain registered clearing agencies. The Commission is also adopting new Rule 15a-12 under the SEA that, while affirming that an SBSEF also would be a broker under the SEA, would exempt a registered SBSEF from certain broker requirements. The

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789 *See* Pub. L. No. 111-203 Preamble.

790 The regulation of SBSEFs includes, among other things, requiring SBSEFs to comply with the Core Principles set forth in section 3D(d) of the SEA. *See supra* section VI.

791 Among other things, the Commission is adopting Form SBSEF for persons seeking to register with the Commission as an SBSEF and a submission cover sheet and instructions to be used in rule and product filings made by SBSEFs.

Commission is also adopting certain new rules and amendments to its Rules of Practice to allow persons who are aggrieved by certain actions by an SBSEF to apply for review by the Commission.

Currently, SBS trade in the OTC market, rather than on regulated trading venues. The existing market for SBS is opaque, with little, if any, pre-trade transparency. With limited transparency, the information asymmetry between liquidity providers (i.e., SBS dealers) and end users could be significant. Specifically, liquidity providers may observe information about the trading process (e.g., trading interest, quotes, order flows, and trades) that end users typically cannot observe. The SBS market also is decentralized such that market participants incur search costs to locate other market participants in order to trade.

While the SBS market is decentralized, it also is interconnected and global in scope.[792] SBS dealers can have hundreds of counterparties, consisting of end users and other SBS dealers. Trading venues may serve hundreds of end user and SBS dealer participants. SBS transactions arranged, negotiated, or executed by personnel located in the U.S. may involve wholly foreign counterparties. Furthermore, U.S. persons may choose to trade SBSs on foreign venues, which are subject to OTC derivatives regulations imposed by local regulatory authorities.

The adopted rules and amendments will affect SBSEFs, SBS exchanges, foreign SBS trading venues, and ECPs (i.e., SBS dealers and end users).[793] In addition, the adopted rules and amendments will affect entities that act as third-party service providers to SBSEFs.

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792 *See* also section VII.A *supra* and XVII.B.2 *infra* (discussing the global nature of the SBS market).

793 Only ECPs are eligible to trade on an SBSEF, and retail investors would have access to an SBS only after an SBS exchange has filed a proposed rule change with the Commission under Rule 19b-4, 17 CFR 240.19b-4, to amend its rules to permit the listing of a registered SBS, with that proposed rule change being published for public comment. *See supra* note 103.

The Commission is mindful of the economic effects, including the costs and benefits, of the adopted rules and amendments. Section 3(f) of the SEA, 15 U.S.C. 78c(f), directs the Commission, when engaging in rulemaking where it is required to consider or determine whether an action is necessary or appropriate in the public interest, to consider, in addition to the protection of investors, whether the action will promote efficiency, competition, and capital formation. In addition, section 23(a)(2) of the SEA, 15 U.S.C. 78w(a)(2), requires the Commission, when making rules under the SEA, to consider the impact that the rules would have on competition, and prohibits the Commission from adopting any rule that would impose a burden on competition not necessary or appropriate in furtherance of the purposes of the SEA.

The analysis below addresses the likely economic effects of the adopted rules and amendments, including their anticipated and estimated benefits and costs and their likely effects on efficiency, competition, and capital formation. The Commission also discusses the potential economic effects of certain alternatives to the approaches taken in this release. The Commission received a number of comments related to various aspects of the economic analysis in the Proposing Release. The Commission has considered and responds to these comments in the sections that follow.

B. Economic Baseline

1. Existing Regulatory Framework

The economic analysis appropriately considers existing regulatory requirements, including recently adopted rules, as part of its economic baseline against which the costs and benefits of the adopted rules and amendments are measured.[794] The analysis includes provisions

[794] *See, e.g.*, *Nasdaq v. SEC*, 34 F.4th 1105, 1111–15 (D.C. Cir. 2022). This approach also follows SEC staff guidance on economic analysis for rulemaking. *See* Staff's "Current Guidance on Economic Analysis in SEC Rulemaking" (Mar. 16, 2012), *available at*

of the SEA, as amended by the Dodd-Frank Act, that currently govern the SBS market, and rules adopted by the Commission thereunder, including in the Intermediary Definitions Adopting Release,[795] the Cross-Border Adopting Release,[796] the SDR Rules and Core Principles Adopting Release,[797] the Regulation SBSR Adopting Release I,[798] the Registration Adopting Release,[799] the ANE Adopting Release,[800] the Business Conduct Adopting Release,[801] the Trade Acknowledgement and Verification Adopting Release,[802] the Regulation SBSR Adopting Release II,[803] the Rule of Practice 194 Adopting Release,[804] the Capital, Margin, and Segregation

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https://www.sec.gov/divisions/riskfin/rsfi_guidance_econ_analy_secrulemaking.pdf ("The economic consequences of proposed rules (potential costs and benefits including effects on efficiency, competition, and capital formation) should be measured against a baseline, which is the best assessment of how the world would look in the absence of the proposed action."); *Id*. at 7 ("The baseline includes both the economic attributes of the relevant market and the existing regulatory structure."). The best assessment of how the world would look in the absence of the proposed or final action typically does not include recently proposed actions, because doing so would improperly assume the adoption of those proposed actions.

795 *See* Further Definition of "Swap Dealer," "Security-Based Swap Dealer," "Major Swap Participant," "Major Security-Based Swap Participant" and "Eligible Contract Participant," SEA Release No. 66868 (Apr. 27, 2012), 77 FR 30596 (May 23, 2012) ("Intermediary Definitions Adopting Release").

796 *See* Application of "Security-Based Swap Dealer" and "Major Security-Based Swap Participant" Definitions to Cross-Border Security-Based Swap Activities, SEA Release No. 72472 (June 25, 2014), 79 FR 47278 (Aug. 12, 2014) ("Cross-Border Adopting Release").

797 *See* Security-Based Swap Data Repository Registration, Duties, and Core Principles, SEA Release No. 74246 (Feb. 11, 2015), 80 FR 14438 (Mar. 19, 2015) ("SDR Rules and Core Principles Adopting Release").

798 *See* Regulation SBSR Adopting Release I, *supra* note 140.

799 *See* Registration Process for Security-Based Swap Dealers and Major Security-Based Swap Participants, SEA Release No. 75611 (Aug. 5, 2015), 80 FR 48964 (Aug. 14, 2015) ("Registration Adopting Release").

800 *See* Security-Based Swap Transactions Connected with a Non-U.S. Person's Dealing Activity That Are Arranged, Negotiated, or Executed By Personnel Located in a U.S. Branch or Office or in a U.S. Branch or Office of an Agent; Security-Based Swap Dealer De Minimis Exception, SEA Release No. 77104 (Feb. 10, 2016), 81 FR 8598 (Feb. 19, 2016) ("ANE Adopting Release").

801 *See* Business Conduct Standards Release, *supra* note 101.

802 *See* Trade Acknowledgment and Verification of Security-Based Swap Transactions, SEA Release No. 78011 (June 8, 2016), 81 FR 39808 (June 17, 2016) ("Trade Acknowledgment and Verification Adopting Release").

803 *See* Regulation SBSR—Reporting and Dissemination of Security-Based Swap Information, SEA Release No. 78321 (July 14, 2016), 81 FR 53546 (Aug. 12, 2016) ("Regulation SBSR Adopting Release II").

804 *See* Applications by Security-Based Swap Dealers or Major Security-Based Swap Participants for Statutorily Disqualified Associated Persons To Effect or Be Involved in Effecting Security-Based Swaps,

Adopting Release,[805] the Recordkeeping and Reporting Adopting Release,[806] the Risk Mitigation Adopting Release,[807] the Cross-Border Amendments Adopting Release,[808] and the Clearing Exemption Adopting Release.[809] The baseline also includes the Temporary SBSEF Exemptions[810] and the CFTC rules that apply to CFTC-registered SEFs.

2. Security-Based Swap Data, Market Participants, Dealing Structures, Levels of Security-Based Swap Trading Activity, and Market Participant Domiciles

Final SBS Entity registration rules have been adopted and compliance was required as of November 1, 2021.[811] As of September 28, 2023, there were 51 entities registered with the Commission as SBS dealers, and no entity registered as a major SBS participant.[812] One commenter asserts that not all registered SBS dealers are consistently active in trading SBS.

SEA Release No. 84858 (Dec. 19, 2018), 84 FR 4906 (Feb. 19, 2019) ("Rule of Practice 194 Adopting Release").

805 *See* Capital, Margin, and Segregation Requirements for Security-Based Swap Dealers and Major Security-Based Swap Participants and Capital and Segregation Requirements for Broker-Dealers, SEA Release No. 86175 (June 21, 2019), 84 FR 43872 (Aug. 22, 2019) ("Capital, Margin, and Segregation Adopting Release").

806 *See* Recordkeeping and Reporting Adopting Release, *supra* note 704.

807 *See* Risk Mitigation Techniques for Uncleared Security-Based Swaps, SEA Release No. 87782 (Dec. 18, 2019), 85 FR 6359 (Feb. 4, 2020) ("Risk Mitigation Adopting Release").

808 *See* Cross-Border Application of Certain Security-Based Swap Requirements, SEA Release No. 87780 (Dec. 18, 2019), 85 FR 6270 (Feb. 4, 2020) ("Cross-Border Amendments Adopting Release").

809 *See* Exemption from the Definition of "Clearing Agency" for Certain Activities of Security-Based Swap Dealers and Security-Based Swap Execution Facilities, SEA Release No. 90667 (Dec. 16, 2020), 86 FR 7637 (Feb. 1, 2021) ("Clearing Exemption Adopting Release").

810 *See supra* section III and note 46.

811 *See* Key Dates for Registration of Security-Based Swap Dealers and Major Security-Based Swap Participants, *available at* https://www.sec.gov/page/key-dates-registration-security-based-swap-dealers-and-major-security-based-swap-participants.

812 *See* List of Registered Security-Based Swap Dealers and Major Security-Based Swap Participants, *available at* https://www.sec.gov/files/list-sbsds-msbsps-9-28-2023-locked-final.xlsx (providing the list of registered SBS dealers and major SBS participants that was updated as of Sept. 28, 2023).

Trading activity in the SBS markets tends to be more concentrated among a subset of such registered SBS dealers, which increases liquidity concerns in these markets.[813]

Market participants such as SBS dealers and major SBS participants were required to report security-based swap transactions to registered security-based swap data repositories ("SBSDRs") pursuant to Regulation SBSR beginning on November 8, 2021.[814]

The Commission uses information reported pursuant to Regulation SBSR to two registered SBSDRs—Depository Trust & Clearing Corporation Data Repository ("DDR") and ICE Trade Vault ("ITV")—to describe the baseline.[815] Table 1 shows that U.S. security-based swaps market activity is split across three asset classes: credit, equity, and interest rate.[816] Based on information reported to DDR, as of November 25, 2022, there were approximately 523,000, 3.4 million, and 5,700 active security-based swaps in the credit, equity, and interest rate asset classes, respectively. The gross notional amounts outstanding in the credit, equity, and interest rate asset classes were respectively, approximately $2.8, $3.6, and $0.18 trillion.[817] Based on

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813 *See* ISDA-SIFMA Letter, *supra* note 18, at 2 n.5.

814 *See* SEC Approves Registration of First Security-Based Swap Data Repository; Sets the First Compliance Date for Regulation SBSR, *available at* https://www.sec.gov/news/press-release/2021-80.

815 DDR operates as a registered SBSDR for security-based swap transactions in the credit, equity, and interest rate derivatives asset classes. ITV operates as a registered SBSDR for security-based swap transactions in the credit derivatives asset class. *See* Security-Based Swap Data Repositories; DTCC Data Repository (U.S.) LLC; Order Approving Application for Registration as a Security-Based Swap Data Repository, Exchange Act Release No. 91798 (May 7, 2021), 86 FR 26115 (May 12, 2021); Security-Based Swap Data Repositories; ICE Trade Vault, LLC; Order Approving Application for Registration as a Security-Based Swap Data Repository, Exchange Act Release No. 92189 (June 16, 2021), 86 FR 32703 (June 22, 2021). The statistics presented herein are based on the Report on Security-Based Swaps Pursuant to section 13(m)(2) of the Securities Exchange Act of 1934, that the Commission issued on Mar. 20, 2023 and is available at https://www.sec.gov/files/report-security-based-swaps-032023.pdf ("SBS Report").

816 In this release, interest-rate security-based swaps refer to non-CDS debt security-based swaps, which are primarily total return swaps that replicate the payoff of a bond or a narrow index of bonds, where the buyer usually pays either a fixed or floating benchmark rate to the seller in exchange for the total return of the bond or the narrow index of bonds. These swaps are a subset of over-the-counter derivatives in the interest-rate asset class.

817 Active security-based swaps are those that have been neither terminated nor reached their scheduled maturity and are therefore open positions as of Nov. 25, 2022. Gross notional amount outstanding